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60th anniversary!

Grace Chang

CEO/Customs consultant

“
We will not look for shortcuts or
irregularities, and we will not settle or reject
anything. We do not remain stuck in
tradition and continue to challenge
ourselves for new reforms.
”



Seoul Customs Clearance Service, founded in 1965, had been conducting business in Jungnim-dong, where the Korea Customs Service was located, for 15 years. Upon incorporation, the name was changed to Shinhan Customs Corporation, and in 1980, the company moved to Gangnam together with the Korea Customs Service, ushering in the Nonhyeon-dong era. *With speed, accuracy, kindness, and service as our guiding principles, we have worked tirelessly to provide the best service to our customers for 60 years.*

The founder, the late Chairman Jang Heung-jin, *started a customs clearance business with 3 employees.* Korea, which celebrated exports of \$100 million on its first Export Day in 1964, has grown to \$683.8 billion in 2024. It has achieved rapid growth of 6,000 fold over 60 years. Shinhan Customs Corporation, which supports trading companies, has grown from 3 employees to 100. Mr. Chairman Chang, in the middle of Korea's trade scene, poured *passion into supporting import and export companies for seamless trade.* Until he passed away in 2023, he never ceased his love and passion for the country, customers, and the Shinhan family.

Ideal and Reality for this month is 'Trump's Tariff Policy, How Far Will It Go? (Summary of Current Situation on Mar 9th, 2025)', Analysis on Recent Customs Judicial Precedent covers 'Request for disposition of denying the import declaration value of the item at issue (dried peppers) and imposing tariffs by determining the customs value based on the transaction price of similar goods pursuant to Article 32 of the Customs Act', and HS case solved by logic

reports 'Precautionary Points for Item Classification of Parts through the Case of Item Classification of Shower Parts (Tax Tribunal 2024 0119)'; Global Customs Insight is 'Discussion of reform of the World Trade Organization (WTO)' and FTA and import/export practical business guide is 'Korea-Philippines FTA concluded', Contents and Opinion of Customs Trade amendment Covers 'Administrative Notice Regarding Partial Revision (draft) of the "Notice on Taxpayer Protection of the Korea Customs Service"'

Shinhan Customs Corporation celebrates its 60th birthday and now looks forward to another path forward. We think about [what steps Shinhan should take as an adult in the customs brokerage industry?](#)

The Republic of Korea, which achieved rapid growth and was called the Miracle of the Han River, saw its economic development rate decline sharply in the 2000s. The economic growth rate was 13.8% in 1969 and maintained a high growth rate of 7% until the 1990s, but economic growth continued to be low entering the 2000s. [Growth expected to drop to 2% this year.](#)

The outlook for the global economy is not bright. The international situation is very turbulent. In particular, the president of the United States, the most powerful country, was elected by declaring 'Make America Great Again', which means what matters is only my country's doing well. Trump has announced that he will do everything possible to achieve this goal and is implementing new administrative orders every day. Many countries are struggling to develop response plans. Another New Normal is being created.

However, looking back, difficult [situations and crises occur every year](#). Even in the 2000s, there were serious crises. [The financial crisis that began in the United States in December 2007 has](#) had a serious impact around the world. As it was also called the Great Recession, GDP plummeted and unemployment soared. House prices plummeted and the income gap worsened. Also, [Covid-19 crisis started in 2020 has](#) put not only the economy but the entire world into fear of death. Millions of people lost their lives and their mental and physical health deteriorated. Due to lockdown and ban on movement and gathering, many people's jobs have disappeared. Above all, the daily routine of social distancing, which prohibits face-to-face contact, has brought about a

crisis in forming healthy human relationships. It has become the new normal and routine. Just like in human life, the path a company takes is not smooth. Difficult situations and crises come up from time to time. [Crises come not only from outside, but also difficult situations arise from within.](#) Over the past 60 years, difficult situations and crises have come from time to time. Nevertheless, there is [great gratitude and joy for having endured all difficulties and overcome them wisely.](#)

No matter what circumstances may arise on our way step forward from now on, our Shinhan family will walk resolutely. We walk today [looking toward the 100-year goal.](#) However, as humans, we don't know whether that path will take one year, 10 years, or another 60 years. We will not be greedy and we will not be conceited. [Looking forward to 100 years, we live a day doing our best today.](#) Being grateful for today and being grateful for today's work, we move forward one step at a time, doing our best. We will not turn away even if the situation is difficult and we will not hesitate even when the situation is overwhelming. Also, in unexpected fortunate situations, we will not [be overly excited and arrogant.](#)

Based on 60 years of tradition, as we have walked the right path based on trust and sincerity, we will continue to walk in that manner. [We will not look for shortcuts or irregularities, and we will not settle or reject anything.](#) We [do not remain stuck in tradition and continue to challenge ourselves for new reforms.](#)

Established in 2008, [Shinhan Invista helps customers stabilize their logistics.](#) To provide this, we are in charge of 3PL work at the bonded warehouse located at the Gimpo Terminal Logistics Complex and the Gimpo Airport Cargo Terminal.

2016 [KORD Partners was established to help advance and localize excellent Korean products into the U.S.](#) We work with U.S. customs brokers and FDA experts, and work simultaneously in the U.S. and Korea.

Established in 2018, [Shinhan Customs Vietnam](#) helps with customs clearance and customs trade consulting and system construction [to manufacturing companies operating in Vietnam.](#)

In 2020 Shinhan [established KORD Systems.](#) It [develops system software for customers and Shinhan Customs Corporation customer convenience programs](#) etc.

**When walking through a snow-covered field
Don't walk around carelessly
My footprints today
It will become a guidepost for those behind you.**

이양연(李亮淵, 1771~1853)

I am grateful that we have been able to maintain our position steadily for a long time, and we will move forward with passion and sincerity in the future. We will not be hung up on one result and do our best in everything we do to contribute to the development of our customers and the country.

Thank you to everyone who has watched and supported us for 60 years. Even on our way forward, please continue to love and teach us.
thank you

<P.S.>

Shinhan Customs Corporation celebrates its 60th anniversary.

On Friday, March 21, 2025, Construction Center 2nd floor(711 Eonju-ro, Gangnam-gu)

'Trilateral convergence customs practice seminar between the U.S., Vietnam, and Korea' will be held.

We ask for your interest and participation.

[Shinhan Customs Corporation](#)





Ideal and Reality

Trump's Tariff Policy, How Far Will It Go? (Summary of Current Situation on Mar 9th, 2025)

When it comes to economic policy, there really is not much new under the sun, and what is claimed to be new usually turns out to be a poorly disguised waste product of the last century. (Milton Friedman, *Capitalism and Freedom*, 1962)

We can't come to our senses with the news about Trump's tariffs pouring in every day. We need to know basic information about Trump's tariffs, such as imposing tariffs, suspending them, withdrawing them, adjusting them, denying that they will be no withdrawn again, etc to be able to make decisions without being swayed by Trump's words, which are causing stock markets, foreign exchange markets, and spot markets around the world to fluctuate day and night.



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[PROFILE]

- SHINHAN Customs
- Corporate Audit
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For now, we can only wait and see how long and with what intensity the institutions that impose tariffs, led by Trump and his Treasury and Commerce Ministers, will play hard against countries, companies, media, and citizens around the world to make them hold their breath.

However, this unstable situation will not continue, so let's watch Trump's tariff executive order for two months and think about how long it will last and how it will develop in the future.

1. First, consider what Trump wants from tariffs.

The United States is the world's only superpower and must serve as the leader of the free world. America cannot go alone. But the United States is increasingly unwilling to play the role of the world's policeman. There is a point. The US believes that China has caused a lot of damage to the United States by attacking the US while China has been protected within the WTO, and the US also believes the EU has made no sacrifices with the support of the United States. Trump's tariff strategy knows that if Trump threatens to shake up many countries and companies, including China and the EU, all countries and companies in the free world will take action. However, there is a high possibility that business and the country will move in a different direction than expected as Trump, Treasury Secretary Scott Bessant, and Commerce Secretary Howard Rutnick want. Since it is a tariff policy that has a counterparty, the other party is greatly affected, and the actions have a complex effect, so there will be many things that work out as Trump expects, and many things that do not.

● What Trump Wants to Gain with Tariffs

Trump wants to eliminate America's chronic trade deficit. In particular, it is believed that there is a severe trade deficit with China, the European Union (EU), and Mexico, and that the country is suffering damage due to China's bypassing exports.

Trump wants to protect manufacturing businesses in the United States and create jobs to reduce unemployment. In particular, because Chinese products have caused a lot of damage to the country's traditional key industries such as steel,

automobile, and lumber, the US is imposing high tariffs not only on products exported from China, but also on products through Mexico, Vietnam, Malaysia, and Canada, which are believed to be China's bypass export countries, ultimately trying to limit Chinese exports to the United States.

Trump wants to keep China in check in the race for technological hegemony, and change the semiconductor market led by Taiwan and Korea to a US-centered market by ensuring that the entire process from design to packaging in the cutting-edge semiconductor industry is manufactured in the US.

Meanwhile, regarding the collapse of the US stock market due to the tariffs on March 5, 2025, Treasury Secretary Bessent said that although there will be a transition period due to the tariffs in March and April, the market sell-off is temporary and prices will not rise due to the tariffs. Commerce Secretary Rutnick emphasized that the chaos in the stock market is not caused by the tariffs, saying that the tariffs imposed on Canada and Mexico are not a tariff war but a drug war.

2. Think about how Trump's tariffs will affect the U.S. economy

● Are tariffs borne by foreigners as Trump claims? Yes, foreigners bear a burden temporarily. The Trump administration has the idea that it will have foreign countries pay tariffs, and reduce federal taxes. Tariffs are usually borne by the importer, but is it correct that they are borne by foreign exporters? International trade theory exists. This is the optimal tariff theory. If a high tariff is imposed, the price of imported goods rises, but there is a possibility that prices in exporting countries will decrease due to a decrease in demand in large countries. Large countries have pricing power that affects the terms of trade in international markets. If high tariffs are imposed, the effect of lower export prices will not be fully passed on to U.S. consumers, but will be passed on to exporting countries.

● Inflation due to tariffs appears gradually. It can't be avoided.

In the short term, if sales of products produced in the exporting country decrease due to tariffs, export prices will fall, so inflation is unlikely to occur significantly until inventories are depleted. The Trump administration can secure tariff revenue, but after a certain period of time, if the exporting country cannot export because the production price does not match, and the price of products produced in the United States cannot absorb the tariff, prices will inevitably rise. Consumers in the United States suffer from inflation due to high prices.

(Milton Friedman, Freedom to Choose, 1980) Inflation is not only very dangerous, it sometimes inflicts a fatal blow and is a disease that can destroy society if not dealt with in a timely manner. After World War I, when prices doubled in one day, Russia and Germany laid the foundation for communism and Nazism, and after World War II, China easily defeated the Chiang Kai-shek regime. (The military regime overthrew Brazil in 1954, the Allende regime in Chile in 1973, and the Peron regime in Argentina in 1976 and took over.)

No government is willing to take responsibility for causing inflation. Government officials are always making excuses: that business people are greedy, labor unions are stubborn, consumers are wasteful, Middle Eastern sheiks raise the price of crude oil, and the climate is sometimes impure. However, they can all raise the prices of individual items. But these points cannot raise the prices of goods in general.

- High tariffs **temporarily** increase the price of imported goods, creating a favorable environment for U.S. companies.

The likelihood of choosing relatively inexpensive American products will increase, and manufacturing and related industries may be revitalized. In particular, the strategic industries of steel, automobiles, and semiconductors will have a protective effect. There is a possibility that some local economies will revive. But it is likely to be temporary. Imposing tariffs on dying or infant industries that have already lost competitiveness can provide temporary protection, but there are limits to protection through high tariffs due to structural problems that prevent further innovation.

- Tariffs on intermediate goods have little effect on protecting industries in the United States. It's foolish. Tariffs imposed on intermediate goods such as steel and aluminum have the function of protecting steel and aluminum steel manufacturing and smelting companies in the United States, but in industries that use a lot of steel and aluminum, such as the construction industry, electrical and electronics industry, machinery industry, and automobile industry, the procurement cost of raw materials and parts increases, which increases production costs and leads to an increase in product prices, resulting in the side effects of high inflation for consumers. Inflation occurs due to Trump tariffs.

3. How long will Trump's tariffs last?

- The effects of the 1935 Smoot-Hawley Act tariffs implemented during the Great Depression did not last more than a year.

The Smoot-Hawley Act of 1935 was a neighborhood impoverishment policy that imposed high tariffs. In 1936, the U.S. GDP temporarily increased by 13.5% and the unemployment rate was lowered from 15% to 9.8%, but it did not last long. Unemployment soared during the cold winter of 1937 and 1938, as agricultural production decreased, farm income decreased and non-agricultural wages were cut. Although the United States intended to protect its own industry and create jobs, it only had the opposite effect and the global trade war intensified due to strong opposition from neighboring countries.

- Imposing tariffs is a policy of neighborhood impoverishment. Neighboring countries are suffering more. Since the increase in social welfare of the importing country due to the imposition of tariffs is achieved at the expense of trading partners, it has been known as a prime example of the beggarthy neighbor policy. It is one of the protectionist trade policies implemented in the United States during the Great Depression in the 1930s. Its purpose is to sell domestic products competitively to neighboring countries or regions, thereby shrinking the industries of the other country or region. It may hinder competition in the international trade market and have negative effects, such as a recession in the global economy. Tariff policy runs counter to the spirit of free trade. There are more failures than successes. But the United States did not give up.

- It is difficult to sustain tariffs for long if inflation occurs. This will give people a hard time. The reason Trump pressured the Chairman of the Federal Reserve Board (FRB) to lower interest rates is due to a combination of political and economic motivations. He decided that it would be advantageous for his re-election strategy to highlight economic growth and the rise of the stock market as his main achievements. Trump actively calls for an interest rate cut because it lowers lending costs and stimulates consumption and investment, which has a stimulus effect on the economy.

In addition, Trump's policy of high tariffs on China is likely to cause inflation by increasing import costs for companies, but he minimizes or ignores the problem of rising prices, claiming that "China is shouldering the burden of tariffs." In addition, there is a strategy to alleviate the economic slowdown caused by the trade war by lowering interest rates.

Above all, Trump has a strong tendency to use the Federal Reserve Board as his policy tool rather than as an independent institution. He publicly criticizes the Federal Reserve Board and presses for an interest rate cut, and even claims that the Federal Reserve Board Chairman is interfering with his economic policy. In the end, he tries to strongly demand an interest rate cut for economic stimulus and political benefit, even considering the possibility of increased inflation due to tariffs.

Nouriel Roubini, a professor at New York University, says there is a possibility of a trumplation shock, or rapid inflation, caused by high tariffs and excess liquidity. At the Greenwich Economic Forum held in Connecticut in October 2024, it was pointed out that "Trump's combination of trade, currency, fiscal, immigration, and foreign policies could lead to a high risk of stagflation." He warned that Trump's populism, including high-intensity tariff increases, dollar devaluation, and a hard-line stance on illegal immigration, will slow the U.S. economy while encouraging increased inflation. In particular, if tensions in the Middle East increase, the possibility of a surge in international oil prices and the labor shortage due to large-scale deportation of immigrants may work together to cause great volatility in the U.S. economy.

Former U.S. Treasury Secretary Lawrence Summers said, "Increasing tariffs while lowering the value of the dollar will lead to a supply shock. If the value of the dollar falls, import prices rise, and if tariffs are raised, the tariff burden increases and supply becomes scarce. The phenomenon of stagflation (increasing prices amid an economic downturn) may occur.

4. How will Trump's tariffs affect the Korean economy and the global economy?

● Tariff wars may also occur between countries other than the United States and GDP may decrease. The global economy will be in turmoil for a while.

Goods that cannot be exported due to high tariffs in the United States must look to other countries to find export markets. In this case, if imports to that country increase, problems will arise in the industry of the importing country, resulting in high tariffs or import bans between these countries.

After the implementation of the Smoot-Hawley Act in the United States in 1935, Argentina banned the import of raw cotton from Britain in 1936, Germany stopped importing French wine, butter, and cheese, and the United States reduced imports of agricultural products from Australia and Canada, causing food prices to skyrocket. Third world underdeveloped countries such as India, Indonesia, the Philippines, and Bangladesh saw their GDP fall by 30%. After about 10 years of suffering around the world, it finally disappeared with the recovery of the global economy from mid-1945.

- In industries that overlap with China, damage is expected from being suspected of being a country with indirect exports.

Starting from March 12, 25, tariffs will be imposed on all steel and aluminum products except those from the United States, which will lead to a decrease in exports of Korean steel and aluminum products to the United States.

Due to the decline in the exports to the U.S., those countries are looking for alternative markets in third countries. If major companies such as Korea and China do not reduce product production, these countries will experience a decline in international prices, that is, export prices, which will worsen profitability and even lead to production interruptions.

Steel and aluminum products are used as raw materials in various industries such as shipbuilding, automobiles, construction, and machinery and electronics, so a temporary cost reduction effect may occur due to a price drop. However, production reductions lead to a price surge again, which increases the cost of the industry. In particular, the construction industry is expected to be hit hard because materials such as steel and aluminum account for 70% to 80% of the product price. Products subject to Trump's tariffs will cause waves in price, production, and export markets, and if you are not lucky enough to ride the wave, your business will suffer a major blow.

5. What policies do U.S. institutions prepare to implement Trump's tariff policy?

- **The U.S. Department of Justice** plans to enforce the False Claims Act, FCA to trade primarily.

The U.S. Department of Justice announced that the Trump administration will actively enforce the False Claims Act (FCA), with trade being a major target.

According to the FCA, importers may be subject to civil liability for:

1. Knowingly making or using, or causing any other person to make, a false record or statement affecting the obligation to pay or remit money (e.g. import duties) or property belonging to the government;
2. Intentionally concealing, or deliberately and unfairly avoiding or reducing, the obligation to pay or remit

These violations may result in compensation of damages and other fines up to three times the amount wrongfully omitted. Additionally, FCA's *qui tam* provision allows private citizens to sue on behalf of the U.S. government and receive a share of any money recovered.

Michael Granston, deputy assistant attorney general for the U.S. Department of Justice's Commercial Litigation Branch, said at a conference held on February 20, 2025 that "unlawful foreign trade practices" will be a major focus of FCA enforcement under the Trump administration. The attempts to evade

specifically the 25% tariffs (targeting products from Canada and Mexico) and reciprocal tariffs scheduled to take effect on virtually all countries starting April 2 will be subject to intensive crackdowns. **Undervaluation, misclassification, and false country of origin statements** are emerging as important issues.

Importers must establish strong trade and compliance controls to withstand increased federal scrutiny, and avoid the financial and reputational costs of violations. Internal compliance must be improved to identify potential vulnerabilities and improve procedures.

● There is a possibility that the criteria for determining the country of origin of automobiles will be strengthened in the Korea-US Free Trade Agreement (FTA).

The Regional Value Content (RVC) standards for automobiles and major parts (engines, transmissions, etc.) have been raised, and the Substantial Transformation requirements have become more stringent. So changes in country of origin through simple assembly are not recognized, and actual manufacturing or major processes must take place in Korea or the United States.

In addition, based on the principles applied in the United States-Mexico-Canada Agreement (USMCA), there is a possibility that requirements for the percentage of U.S. steel and aluminum used will be added. In addition, there is a possibility that standards similar to Labor Value Content (LVC) requirements will be introduced, which is expected to affect the raw material procurement strategies of automobile manufacturers.

● **In addition, origin certification and verification procedures will be further strengthened.**

The requirements for submitting proof of origin are expected to become more stringent, and post-verification by the U.S. Customs and Border Protection (CBP) and the Korean Customs Service is expected to become more thorough. Therefore, companies must reexamine their existing supply chains and parts procurement routes, and strengthen preliminary inspection and certification procedures to meet country of origin regulations. In addition, it is important to reconfirm whether FTA preferences are applied and establish a tariff reduction strategy accordingly. These measures to strengthen origin standards are interpreted as a response to the United States' domestic industry protection policy and changes in the global supply chain, and companies need to be thoroughly prepared for this.

● **The Office of the United States Trade Representative (USTR) has officially initiated an investigation on Trade Act (section 301) on laws, policies and practices to govern China's semiconductor industry. Trade Act Section 301 Committee Holds public hearings and collects public input.**

Through “**Made in China 2025**” planning, China **set production capacity and market share targets for the semiconductor industry and** actively promotes it. China has the goal to **weaken the competitiveness of U.S. and global semiconductor companies and cause supply chain instability through the expansion of market share through state-owned and controlled enterprises, opaque regulations, discriminatory policies, forced technology transfers, state-sponsored cyber hacking and intellectual property theft, large government subsidies and artificial price adjustments to the semiconductor industry.**

Currently China is **expected to account for nearly half of global semiconductor production capacity and** this can be **distorting market competition and causing overproduction problems in the semiconductor industry.**

In connection with this investigation, USTR **Solicit public input** and is requesting opinions on the following matters:

1. **Actions, policies and practices related to China's semiconductor industry dominance strategy**
2. **Specific examples of China's anti-competitive and non-market strategies**
3. **Impact of China's policies on the U.S. and global semiconductor industries**
4. **Specific cases of damage to US trade and economic evaluation**
5. **appropriate countermeasures (including tariffs and other sanctions) under Section 301 of the Trade Act;**

6. What preparations are Korean companies making?

● **Korean companies are seeking to expand production in the United States. However, it is difficult to solve the labor problem in the United States in a short period of time.**

Already in the fields of automobiles, automobile parts, secondary batteries, and semiconductors, Korean companies are expanding local production facilities to maintain market competitiveness in the United States. However, even after the factory is completed, it is difficult to apply for a visa for long-term dispatch of technical personnel from companies that can train workers, and it is difficult to hire and train field workers and ensure normal operation. Taiwan's TSMC also established a U.S. factory, but delayed operation by a year because it lacked skilled manpower.

Although investment in robots is increasing in the United States, it is difficult to increase domestic

production in the short term because retraining of the workforce is not taking place. Darren Acemoglu, winner of the 2024 Nobel Prize in Economics, said, "In the United States, new capabilities cannot be built overnight, and lack of skills can hinder industrial regeneration. Unfortunately, the American workforce is not ready for this," he warned. (New York Times, October 24)

● **Companies are considering changing the country of origin by moving some of our Chinese factories to Korea or Vietnam.**

There are cases where companies have promoted or are planning to relocate production from China to other countries to avoid Section 301 tariffs on Chinese products. However, in cases where it is impossible to move the entire production line out of China due to issues such as manpower, equipment, infrastructure, and cost, we are examining whether it is possible to meet the origin standards by transferring only the minimum manufacturing process to another country. You can avoid retaliatory tariffs from the U.S. only by moving away from Chinese products. However, the U.S. CBP is subject to complex substantive transformation regulations for determining the origin, making it difficult to accurately judge and apply them. A detailed and in-depth review of the United States' substantially modified origin determination standards for each individual item is necessary.

The U.S. CBP may raise suspicions of transshipment to avoid anti-dumping (AD) and countervailing duties (CVD) on the grounds that imports through Korea, Vietnam, Mexico, Malaysia, and Thailand have increased rapidly while exports from China have decreased.

● **We are reviewing product classification, taxable value, and country of origin resulting from changes in production routes.**

The key policies of Trump's second term are tax cuts, deregulation, fostering traditional energy industries, and tariff increases.

Traditional problems arise when sourcing changes. Changes in production methods can lead to changes in HS classification, which directly affects tariff rates. In terms of taxable value, services such as design and engineering, as well as production assist for raw materials and parts require review in the taxable price area. Similar issues can also arise when sourcing changes are made to address supply chain issues due to labor shortages, production delays, shipping disruptions, etc. If you are moving production of key components or major processes to another country, you must understand what impact the change will have in terms of tariffs, quotas, sanctions, etc. Additionally, changes to Incoterms between importers and suppliers may have an immediate impact on the non-taxable expenses that can be deducted when

reporting imports.

7. Can the United States prevent the indirect export of Chinese products to other countries?

China's extensive subsidies and non-market practices have resulted in a situation where overproduced goods are being exported indirectly, and the United States' attempts to prevent this are continuing under Biden and Trump.

● The United States is concluding FTAs with Canada, Mexico, Korea, Central America, Israel, Australia, and Singapore, but China has chosen Mexico as a detour for exports to the United States.

The United States imposes a 25% tariff on steel under Article 232 of the Trade Expansion Act if the steel is not from Mexico. It was possible to be exempted from tariffs after some processing in Mexico, but from March 12, 25, all products will be subject to tariffs.

The imposition of tariffs on steel that does not go through the steelmaking process and aluminum that does not go through the smelting or casting process is aimed at China.

● China's export statistics to the US are different. This indirectly confirms that Chinese products are being imported indirectly through other countries.

	2018	2024	decrease
US statistics	\$505 billion	\$439 billion	\$66 billion (8.2%)
Chinese statistics	\$537.1 billion	\$524 billion	\$13.1 billion (2.5%)

● Will the USD800 de minimis exemption continue?

The minimum standard exemption (de minimis exemption) less than USD 800 implemented in 2016, is imported into the United States annually in 1.4 billion cases in 23 years, and more than 50% of these goods are imported from China and Hong Kong.

On February 4, 2025, Trump signed an executive order imposing tariffs on products from Canada, Mexico, and China, and included a provision suspending duty-free benefits for imports under USD800. Temu and Shein, who grew by applying the tax exemption clause, are directly exposed.

* In Korea, AliExpress (3.4 trillion) attacks are stronger than Shein Temu (600 billion), with approximately 200 million attacks.

Chinese low-cost e-commerce platforms, especially Temu and Shein, are being hit hard by the Trump administration's additional tariffs. Previously, products purchased directly under \$800 received tax exemption benefits, but with this measure, this benefit is disappearing and price competitiveness is

weakening. Accordingly, some production bases are closing or moving overseas, and in particular, Vietnam, Turkey, and Brazil are emerging as new production bases.

China's small businesses and supply chains are also facing a crisis. Small-scale clothing factories in the Guangzhou region that supplied Xuyin and Temu products were forced to close down or reduce their workforce. Some companies have been asked to move factories to Vietnam, showing that China's e-commerce ecosystem as a whole is shaken.

Consumer prices are also expected to rise due to additional tariffs. For example, a coat that could previously be purchased for \$100 with tax exemption is now expected to rise to \$146 due to tariffs and additional costs. In addition, as customs clearance procedures are strengthened and fees are increased, the burden on American consumers is expected to increase.

It is highly likely that the Trump administration's tariff policy will become stronger in the future. There is a possibility that tariffs will be expanded to third countries such as Vietnam and India to block China's bypass exports. The prevailing view is that it is unlikely that the United States will reinstate the \$800 duty-free policy. As a result, China's export strategy to the United States has to change fundamentally. In the future, the global e-commerce market is expected to be increasingly affected by these changes. As low-cost products from China decline, a new alternative market is likely to be formed in the United States, and other countries such as Korea, Vietnam, and Mexico may receive attention as new supply chains.

8. What impact will Trump's tariffs have?

● If inflation increases strongly in the United States, the tariff war is likely to decrease.

Trump is too obsessed with the size of the trade deficit and neglects strengthening industrial competitiveness in the United States. There are limits to unilateral, excessive protectionist policies that prioritize only the United States.

According to the FT, Biden implemented the Inflation Reduction Act (IRA) Semiconductor Science Act (CHIPS ACT) to promote innovation in the United States, and although foreign direct investment (FDI) in China decreased by 82% in 2023, the United States became the country that attracted the most FDI in the world, especially in the high-tech manufacturing sector. However, Trump says he will impose tariffs on steel, aluminum, lumber, and semiconductors.

Trump wants a weak dollar policy. In a conversation with Federal Reserve Chairman Powell, Trump and Vice President Vance argued that the dollar's reserve currency status is a subsidy for consumers, but a tax on American manufacturers. Skeptics of a strong dollar argue that it hurts American workers by making American exports too expensive overseas, and devaluing the dollar is consistent with populism. (The

expected method is that the U.S. government may apply pressure by selling dollars to buy foreign currency or printing more dollars.)

● **Trump's expansive economic stimulus, tariff hikes, and dollar devaluation are all heading in the same direction: rising inflation.**

Rising import prices in the region due to high tariffs will aggravate inflation, and if the Federal Reserve Board raises interest rates, a strong dollar phase will result. The dollar cannot be as weak as Trump believes, hoping to revive U.S. manufacturing without the enormous pain of inflation. If inflation occurs in all directions, Trump's tariff policy will subside.

Let's look at Federal Reserve Chairman Jerome Powell's speech on March 7th, 2025 carefully.

In a speech at the Monetary Policy Forum at the University of Chicago's Booth School of Business held in New York on March 7, 2025, Chairman Powell said, "The significant policy changes being implemented by the Trump administration, including on trade, immigration, fiscal policy, and regulation, will have a significant impact on the direction of the economy and monetary policy. The uncertainty of the changes and their effects remains high," and added, "(The Federal Reserve) is focusing on distinguishing between signal and noise." "We have no need to rush. The current policy stance is well positioned to address the risks and uncertainties we face in pursuing our dual responsibilities," he emphasized.

Chairman Powell also gave a positive assessment of the US macroeconomic environment. "The labor market is strong and inflation is approaching the Fed's 2% target," he said, but pointed out that "recent surveys of households and businesses suggest growing uncertainty about the direction of the economy." Chairman Powell predicted that efforts to curb inflation will continue and that the process will not be smooth. He predicted, "The road to returning inflation to the target has been difficult and challenges are expected in the future."

Fed Director Adriana Kugler, who did not attend the forum on this day, said at a labor market conference held in Portugal, "We continue to confirm the upside risk of inflation," and added, "It may be appropriate to maintain the policy interest rate at the current level for the time being."

9. How long will it last?

If we consider that the main reason for Trump's tariff policy is that China's overproduction threatens American manufacturing, negotiations between the United States and China could become a watershed for a solution.

There are opinions that Trump's tariff policy will last six months or a year, but the duration of Trump's tariff policy can be predicted depending on how quickly US inflation occurs. With the news of high tariffs, prices of some items have already increased even though they have not been implemented, and air and sea freight rates are falling.

If the United States continues its tariff policy, not only will it plunge the world economy into a recession, but the U.S. economy will also inevitably experience a recession.

It is necessary to closely monitor the correlation between inflation and tariff policy.

<Attachment> Terms for understanding Trump tariffs

Important concepts in the US Trade Preferences Extension Act (TPEA) include *AFA (Adverse Facts Available)* and **PMS (Particular Market Situation)**.

1. AFA (Adverse Facts Available)

AFA is a concept used by the U.S. Department of Commerce (DOC) in anti-dumping and countervailing duty investigations. This is a measure that allows the U.S. government to make an unfavorable ruling on the company based on available unfavorable information if the company being investigated does not provide sufficient information requested or if the information provided is judged to be unreliable.

AFA application examples

- If the company does not submit the required documents or provides inaccurate information
- If the company is not cooperative or shows an evasive attitude during the investigation process.
- The U.S. government may use separately obtained information (e.g., competitor data) to make unfavorable decisions.

If AFA is applied, companies are likely to be subject to high anti-dumping or countervailing duties, which will directly affect their price competitiveness in the U.S. market.

2. PMS (Particular Market Situation)

PMS is a concept that allows the United States to calculate the normal price using a method other than the existing method when calculating the dumping margin in an anti-dumping investigation, if the market in the country under investigation is judged not to be a normal competitive environment.

Highlights of PMS

- If there is evidence that the market in a particular country is not a normal market due to government subsidies, price distortion, monopolistic structures, etc., the U.S. Department of Commerce may adjust the normal price on its own.

In general, PMS is more likely to be applied in countries with strong government intervention (e.g. China, Vietnam)

- When a U.S. importer undergoes an anti-dumping investigation, if PMS is recognized, a higher dumping margin may be calculated than the original.

PMS application examples

- If the United States determines that a specific country's steel industry has a lot of government subsidies or raw material prices are set artificially low
- If production costs are low or a particular industry has a monopolistic structure, the United States does not consider the market to be a normal market.

If PMS is applied, it is highly likely that higher anti-dumping tariffs will ultimately be imposed because the United States may not trust the country's cost data and may use other criteria (e.g., price information from a third country) to calculate the dumping margin.

The three sets of trade regulations include Articles 301 and 201 of the Trade Act 1974 and Article 232 of the Trade Expansion Act 1962.

Article 301 of the Trade Act – Regulations that allow the President to restrict imports (electric vehicles, batteries, solar energy, clothing and textiles) if the U.S. Trade Representative determines that the domestic industry has been harmed by unfair or discriminatory practices of a trading partner.

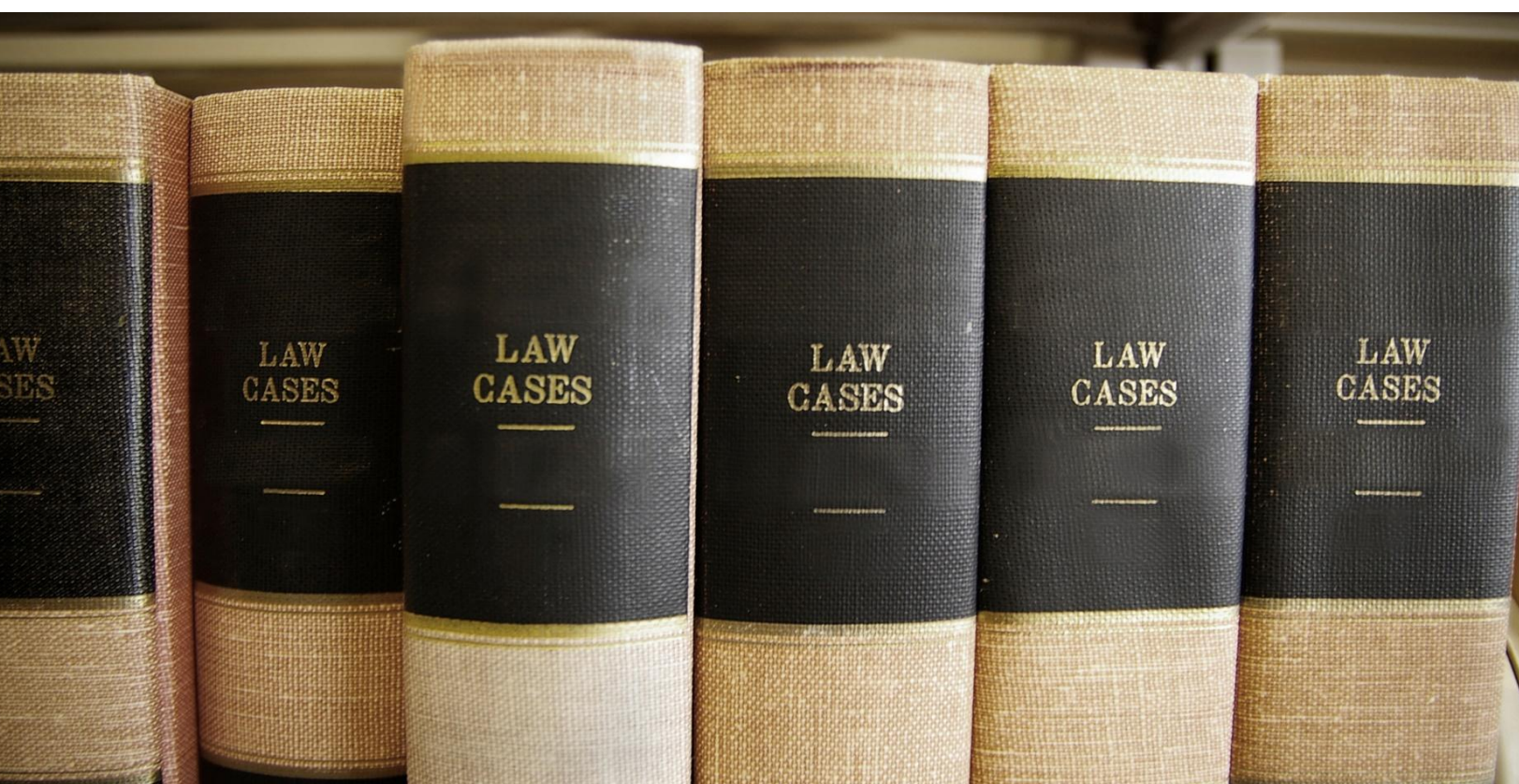
Article 201 of the Trade Act – a provision that allows the President to impose temporary tariffs and other trade measures if the U.S. International Trade Commission determines that a surge in imports has caused or is likely to cause serious damage to U.S. industries (solar modules and cells, large washing machines)

Section 232 of the Trade Expansion Act - specifies that if the U.S. Department of Commerce determines that the import of a specific product could undermine national security, the President may take action to adjust the import of that product (steel and aluminum)

In addition, although the inflation reduction law aims to reduce inflation, its main purpose is actually legislation to combat climate change. The cause of inflation is climate change, and to resolve this, we plan to support the electric vehicle and renewable energy industries and reorganize them into a U.S.-centered supply chain. (Effective in August 2022)

If electric vehicles are produced in the United States, rather than providing subsidies, core battery minerals must be procured from countries that have signed USMCA, and battery parts must also be procured from North America.

In addition, there is noteworthy legislation **CHIPS & SCIENCE ACT**. This is to encourage direct production of cutting-edge semiconductors within the United States. The United States is a leader in high value-added fields such as semiconductor circuit design program (EDA) intellectual property and chip design. The Trump administration's support for the semiconductor industry is particularly focused on saving Intel, and if production is entrusted to a 2-tier company like Intel, there is a high possibility that it will deal a blow to Samsung Electronics. This can be seen as a strategy to support American companies and limit the trading options. Trump's key policies in his second term are tax cuts, deregulation, fostering traditional energy industries, and tariff increases.



Analysis on Recent Customs Judicial Precedent

Request for disposition of denying the import declaration value of the item at issue (dried peppers) and imposing tariffs by determining the customs value based on the transaction price of similar goods pursuant to Article 32 of the Customs Act

[Disposal Overview]

A. On November 22, 2022, the claimant company imported 20 tons of Chinese red peppers (hereinafter referred to as "item at issue") from OO located in China (hereinafter referred to as "issued exporter") under import declaration number OO. The import declaration was made under tariff and statistical integrated classification table (hereinafter referred to as "HSK") heading 0904.22-0000, in which 'dried peppers' are classified, and the reported unit price was OO dollars (USD) per ton. But as a result of the analysis made by the disposal office, it was reported as 'dried pepper with the stem and seeds removed and cut irregularly' (neither crushed nor finely crushed) and correction of the import declaration was made as HSK heading 0904.21-0000 according to the guideline.



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B. On January 6, 2023, the disposal office requested a customs investigation to the head of Incheon Customs, and the head of Incheon Customs notified of the corporate review and requested to submit data to the claimant company on February 13, 2023.

C. The head of Incheon Customs notified the results of the customs investigation to the claimant company on May 15, 2023, denying the declared value of the item at issue and determining the customs value (hereinafter referred to as the "third method") based on the transaction price of similar goods (USD OO dollars/MT) in accordance with Article 32 of the Customs Act. The disposition office followed the results on May 25, 2023 and the tariff amount was corrected and OO won was notified to the claimant corporation.

D. The claimant corporation objected and filed a complaint on August 23, 2023. A request for judgment was filed.

[Tariff issues and related laws]

1. Issue

Whether the declared value of imported goods can be determined as the actual price paid according to method 1 (Article 30 of the Customs Act)

2. Related laws

(1) customs law

- Article 30 (Principles for determining customs value)

① The customs value of imported goods shall be the transaction price adjusted by adding the following amounts of each heading to the price actually paid or payable by the buyer for the goods sold for export to Korea. However, when adding the following amounts, it must be based on objective and quantifiable data. If such data is not available, the customs value shall not be determined using the method prescribed in Article 30. The taxable value is determined by the method prescribed in from Article 31 to Article 35.

⑤ If a person liable for tax payment falls under any of the following, the head of the customs office shall not determine the dutiable value using the method

prescribed in paragraphs 1 and 2 but determine the taxable value by the method stipulated in [Article 31](#) to [Article 35](#). In this case, the head of the customs office must make efforts to ensure appropriate cooperation, including exchange of information, with the taxpayer in order to determine the customs value as soon as possible, and must notify the taxpayer of the reasons why it is difficult to recognize the declared value as the customs value and the details of the customs value decision.

1. Failure to submit the data requested pursuant to paragraph 4
2. If the data submitted pursuant to the request in paragraph 4 is prepared in a manner that does not comply with generally accepted accounting principles.
3. In cases where it is difficult to recognize the reported value as the dutiable value due to reasons prescribed by Presidential Decree.

(2) Enforcement Decree of the Customs Act

- **Article 24 (Scope of non-recognition of customs value, etc.)**

① In paragraph 4 of law [Article 30](#), "cases prescribed by Presidential Decree" means any of the following cases:

1. If the price reported by the taxpayer is significantly different from the price of the same product or similar product.
2. If there is a significant change in the reported price even though the taxpayer continues to import from the same supplier.
3. If the reported product is a product for which the international trade price is announced, such as crude oil, ore, or grain, and the reported price is significantly different from the international trade price.
- 3-2. If the reported products are crude oil, ores, grains, etc., whose international trade prices are not publicly announced, and if there is a survey price of the origin of the imported goods investigated by the Commissioner of the Korea Customs Service or a person designated by the Commissioner of the Korea Customs Service, the reported price is significantly different from the survey price.
4. When the taxpayer changes business partners and the reported price is significantly different from the previous price.
5. Cases prescribed by Ordinance of the Ministry of Strategy and Finance as reasons equivalent to reasons 1 through 4.

② If submission of data is requested pursuant to Article 30, paragraph 4, the head of the customs office must request the submission of data in writing, stating the reason and the period prescribed by Ordinance of the Ministry of Strategy and Finance.

- ③ In law [Article 30](#), Paragraph 5, No. 3, “where it is difficult to recognize the reported value as the customs value due to reasons prescribed by Presidential Decree” means any of the following cases:
1. If the data submitted by the taxpayer does not specifically indicate the transaction relationship of imported goods
 2. In addition, if there are reasonable grounds to doubt the accuracy or truth of the reported price, such as the inability to confirm the facts regarding the data submitted by the taxpayer

3. facts and judgment

(1) facts

- The items at issue are agricultural products on which high tariff rates are imposed as a policy to protect domestic agriculture. There is an inherent risk of low-priced declarations, so the Commissioner of the Korea Customs Service has designated and announced the duty amount review at the time of import declaration. Due to the nature of agricultural products, they are goods whose prices fluctuate greatly depending on quality, grade, harvest time, etc., and unlike general imported goods, required specifications must be set and should be reported separately.
- On November 22, 2022, the claimant company applied the higher tariff rate between 270% or 6,210 won/kg to the item at issue and reported a specific tax amount of 124,200,000 won (=6,210 wonx20,000kg). [The customs duty calculated based on ad valorem tax is OO won(=OO wonx270%).] However, on May 25, 2023, the disposal office recalculated the dutiable value of the item at issue based on ad valorem tax rather than specific tax (OO won x 270% = OO won) and corrected the customs duty of OO won (= OO won - OO won) and notified.
- The Disposal Office classifies Chinese dried peppers into three categories according to the degree of processing, and gives the opinion that since the item at issue is the dried peppers that have been cut with the stems and seeds removed, which is the highest level of processing.
- On March 21, 2023, claimant corporation submitted an explanation of the import transaction and the process of determining the price as follows.in accordance with the request for data submission from the Disposal Office.

- The claimant company submitted the price list (COST LIST) of the item at issue prepared by the exporter at issue as follows.
- According to the raw material packaging price list submitted by the claimant company, the unit price of grade 2 dried peppers is approximately 65.5% of the unit price of grade 1 dried peppers, and the unit price of grade 3 dried peppers is approximately 41.4% of the unit price of grade 1 dried peppers.
- The claimant company submitted sales data for dried peppers sold on a Chinese website (<https://www.21food.com>), but it is not the same product as the item at issue, and the dried peppers sold by the exporter at issue do not appear on the above website.
- The prices of dried peppers (HSK heading 0904.21-0000) sold by the exporter at issue to other importers in Korea for about 2 years and 5 months from 2021 to the present are total of USD 2,522 to 2,526 USD/MT, and the unit price in the transaction statement and electronic invoice for peppers (crushed peppers) submitted by the claimant company is OO won/kg or OO won/kg.

(2) judgment

- ① Significant difference from the transaction price of the same product or similar product
The selling price of dried peppers exported by the exporter at issue to Korean-based companies for about 2 years and 5 months from 2021 to the present has been maintained constant at more than \$2,620/MT. This makes it difficult to trust the claimant's explanation that the exporter at issue sells to other companies at OO dollars/MT based on the arrival price.
- ② In addition, among the review materials submitted by the claimant company, the negotiation emails exchanged with the exporter at issue only attached contract-related documents without any details of the import transaction contract conclusion process, and the introduction of the exporter at issue and the detailed price determination process for the item at issue were conducted verbally without any supporting materials and with a broker from Chinese origin, making it impossible to confirm the exact process of price determination.
- ③ As such, it is difficult to trust the accuracy or truthfulness of the data submitted by the claimant company, and the appropriateness of the declared value has not been reasonably demonstrated. Therefore,

the declared value of the imported goods of the claimant company is not recognized as the customs value, and the methods under Article 31 of the 「Customs Act」 are applied sequentially to determine the customs value.

(3) Review of Article 31 of the Customs Act

- Due to the nature of agricultural and marine products, which are not standardized products, Importation of goods of the same type and quality cannot be confirmed. The determination of customs value under Article 31 does not apply.

Article 31 of the Customs Act (Determination of customs value based on transaction price of goods of the same type or quality)

① If the dutiable value cannot be determined by the method of [Article 30](#), the dutiable value shall be determined based on the transaction price of goods of the same type and quality that have been recognized as dutiable value and meet the following requirements.

(4) Review of Article 32 of the Customs Act

- Pursuant to the provisions of Article 32 of the 「Customs Act」 and Article 25, Paragraph 2 of the Enforcement Decree of the same Act, the customs value is determined based on the lowest price among the transaction prices of similar goods recognized by entering the port within 30 days before and after the date of entry of the item at issue.

Article 32 of the Customs Act (Determination of customs value based on transaction price of similar goods)

① When the taxable value cannot be determined using the method in accordance with [Article 30](#) and [Article 31](#), the taxable value is determined based on the price that satisfies the requirements of each subparagraph of paragraph 1 of Article 31 as Transaction price of similar goods recognized as taxable value.

② Even if it is a transaction price of similar goods that has been recognized as dutiable value pursuant to paragraph (1), if there are reasonable grounds to doubt the accuracy and truth of the price, that price shall be excluded from the basic data for determining dutiable value.

When applying paragraph 1, if there are two or more transaction prices of similar goods, the dutiable price shall be determined based on the price of the goods whose transaction details are most similar to the relevant goods. If there are two or more goods with the same transaction details, etc. and more than two prices, the customs value shall be determined based on the lowest price.

Article 26 of the Enforcement Decree of the Customs Act (Scope of similar goods)

① In Paragraph 1 of law [Article 32](#), "similar goods" refers to products produced in the country of origin of the relevant imported goods, which, although not identical in all respects, perform the same function and have similar characteristics and similar components to enable replacement.

④ In law [Article 31](#), Paragraph 1 No. 1, "the period during which there is no change in market conditions or commercial practices that affect the price before and after the date of shipment of the relevant goods" shall be the period of 60 days before the date of shipment of the relevant goods and 60 days after the date of shipment of the relevant goods. But, in the case of products whose prices vary significantly depending on the season, such as agricultural, forestry and livestock products, the period is the sum of 30 days before the shipment date and 30 days after the shipment date..

- The reported price of the item at issue is about 45.7% of the weighted average price of similar goods in this case and about 55.2% of the minimum price, which is a significant difference. The price of dried peppers is determined comprehensively by considering various conditions such as moisture, length, gloss, and grade as well as the drying method. The production area of the item at issue and the similar goods in this case is Shandong Province, China, and the transportation type is ship container, so the transaction stage, transportation distance, and transportation type are the same. In view of the fact that there was no price discount for the item at issue due to the difference in quantity, and that the taxable price of the item at issue was determined based on the lowest price of similar goods between 30 days before and 30 days after the shipment date regardless of any change in market conditions or business practices that affect the price before and after the shipment date. This applies to cases where there are reasonable grounds to doubt the accuracy or truth of the declared price as stipulated in Article 30, Paragraph 5 of the Customs Act. Therefore, the disposition office denied the reported price of the item at issue, and tariffs are imposed by determining the dutiable value of the item at issue based on the price of similar goods according to the third method. In this case, it is judged that there was no error in this disposition.



HS case solved by logic

Precautionary Points for Item Classification of Parts through the Case of Item Classification of Shower Parts (Tax Tribunal 2024 0119)

1. Overview

We would like to learn about the points to keep in mind when classifying parts through the following tax tribunal case on shower parts.

2. Claim of claimant and opinion of disposition office

A. Claim of claimant

The item at issue should be classified under heading 8481.

(A) Exposed shower heads (hereinafter referred to as "issue item ①") shall be classified as parts under heading 8481, which faucets are classified.



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(B) In the case of a embedded shower head (hereinafter referred to as "Issue item ②"), the combination of the faucet and the shower is an essential element for performing the original function. The shower head is a part that completes the function of the faucet, and is a specially manufactured product to implement the function of the faucet only. It should be classified as a part under No. 8481.

The 2009 Product Classification Decision Notice (Incheon International Airport Customs Tax Audit Department-147, September 7, 2009, hereinafter referred to as the "Issue Decision Notice") also states that "It constitutes a finished faucet product and cannot be used alone, so it is a faucet part." Therefore, items specially manufactured to implement only the function of a faucet, such as issue item ②, are classified as faucet parts and should be classified in heading 8481.90.

(c) In the case of the embedded shower head (including LED lighting function) (hereinafter referred to as "Issue item ③"), the exposed shower head with only one pipe connected to the faucet sprays water like rain, while the Issue item ③ with multiple pipes connected from the faucet sprays water in the form of a rain, waterfall, or mist depending on the shape of the nozzle connected to each pipe, but its basic structure and function is the same as the exposed shower head. In addition, there are three inlets, so when water enters the waterfall function inlet, there is a backflow prevention valve to prevent water from leaking into the rain function.

Nevertheless, the Disposal Office classified the backflow prevention valve as heading 8424, saying that special parts that could control water were used for installing the backflow prevention valve, and that special parts were used to control the form of water through different type of nozzle beyond the simple function of letting water out.

The backflow prevention valve is a rain function nozzle and intended to prevent water from flowing out and allow water to be sprayed intensively. It is only an implementation of the function of the pipe on the in-flowing water, and is not a spraying device used for spraying liquid or powder.

Rather, the reason for installing a valve to prevent the backflow of water for the waterfall function of the product in issue item ③ is that when a pipe with a waterfall function is selected in the faucet, when water is supplied, the water flow

is blocked to a nozzle with another function, so it only serves as a part that completes the waterfall function of the faucet.

The Tariff Schedule, Part 16, Note 2, Machine parts (excluding parts of goods of headings 8484, 8544, 8545, 8546, and 8547) stipulates that parts that are goods included in any specific heading of Chapter 84 or 85 (excluding Headings 8409, 8431, 8448, 8466, 8473, 8487, 8503, 8522, 8529, 8538, and 8548) shall be classified under the respective heading in any case.

Looking at the structure of heading 8424, the goods under headings 8424.10 to 8424.89 are subheadings in which finished products are classified, and their parts are classified in subheading 8424.90. When classified as parts, the parts under 8481 are to be classified under the corresponding heading in any case according to the regulations of the Tariff Schedule, Part 16, Note 2. So the issue item ③ must be classified as a faucet part under 8481.

B. The Opinion of the Disposal Office

(1) The item at issue must be classified in accordance with General Rule No. 1 as 'devices discharging water for showering.'

(A) Issue item ① is a plastic article that is not permanently installed on the wall of a building, so it should be classified under heading 3924.

Tariff Heading 3924 classifies 'sanitary and cosmetic products made of plastic.' The explanatory note for the same issue explains that the sanitary and cosmetic products to be classified under this heading are 'similar articles for use in bathrooms, cosmetics, and kitchens that are not permanently installed on the walls of buildings.'

Therefore, issue item ① is a plastic product used in a bathroom and not installed as a permanent fixture on the wall of a building, so it should be classified under heading 3924.

(B) Issue item ② should be classified under heading 7324, which broadly regulates sanitary products made of steel.

Issue ② item is not embedded in the ceiling like a embedded type, but rather both the front and back of the product are exposed, and has the function of discharging water above the head.

The heading 7324 of the Tariff Schedule classifies 'sanitary products and parts thereof made of steel', and the Explanatory Note to the same heading explains that 'this heading includes a wide range of steel products used for sanitary purposes that are not listed in other headings of this table.'

Therefore, the heading 7324 broadly regulates sanitary products made of steel, and the issue item ② falls under this category, so it should be classified under heading 7324.90-8000.

(C) Issue item ③ should be classified under heading 8424 as 'equipment for injecting, sprinkling, or spraying liquid.'

Issue item ③ is designed as an embedded type to withstand heavy loads and has the function of discharging water in various forms.

Tariff heading 8424 classifies 'apparatus for injecting, sprinkling or spraying liquid or powder', and the explanatory note for the same heading explains that the equipment classified in this heading is 'equipment for injecting, sprinkling or spraying vapor, liquid or solid substances in the form of injecting, sprinkling or spraying.'

Therefore, the item at issue item ③ goes beyond the function of simply discharging water and uses special parts that allow the form of water to be adjusted according to the type of nozzle, so it should be classified as a device for injecting, sprinkling, or spraying liquid under heading 8424.

(2) The item at issue cannot be classified under heading 8481 in accordance with General Rule No. 1 because it was presented alone and not in combination with the 'equipment for controlling water with valves' in heading 8481.

(a) Faucets used in connection with the item at issue are goods classified under heading 8481.

Comprehensively examining the terminology and commentary of the relevant heading, the devices classified under this heading are ① taps, cocks, valves, etc. attached to or used in pipes, tanks, barrels or similar articles in terms of use and purpose, and ② in terms of function, they control the flow of liquid, gas, etc.

However, the item at issue is completely separate goods that do not meet the contents of the Explanatory Note for No. 8481. ① In terms of form and use, it is a unique product that is attached to a hose additionally connected to a pipe and does not correspond to a tap, cock, or valve. ② In terms of function, it is a completely independent individual product as its main function is to discharge water out.

Meanwhile, the claimant company claims that the items at issue are classified as 'parts' used exclusively or mainly in heading 8481 and are classified in heading 8481.90, citing the provisions of Note 2 of Part 16 of the Tariff Schedule. However, a faucet is a 'device that regulates water with a valve (adjustment of flow rate)', and the items at issue are 'sanitary products for showering', which are individual devices that perform different functions in the item classification.

If a shower head is presented (exported) together with a 'device that regulates water with a valve', as in the case of the item classification at issue, the products composed of different materials or composites of different components are classified together under heading 8481.80 pursuant to General Rule No. 3,

recognizing the main characteristics of the valve according to the regulations that classify them as products composed of materials or components that give essential characteristics to these products.

However, this classification standard is not a classification considering the shower head as a part of 'a device that controls water with a valve', and there is no room for review because the item at issue was presented alone at the time of export declaration.

A part refers to an essential component that directly composes a device and without which the device cannot fulfill its function (Refer to Korea Customs Service Regulation No. 167, 2017-07-28,). Therefore, in order for the item at issue to be classified as heading 8481.90, the item at issue must be an essential component that directly constitutes the 'device for controlling water with a valve' and cannot 'control the strength and temperature of water' without the item at issue. However, the 'device for controlling water with a valve' satisfies all the requirements of ① form and use, and ② function by itself without the item at issue, so the item at issue is not a part of heading 8481.

(b) Even according to the Explanatory Note to heading 8481, the item at issue cannot be classified under heading 8481.

Accessory features that can be classified in heading 8481 are listed as 'double-walled for heating or cooling taps, valves, etc., tubing for connections, tube endings for shower roses, small drinking fountains, and equipped with locking devices.'

In this way, the item can be classified as Heading 8481 only when the short pipe attached to the shower head is attached to the valve side of the faucet and presented together. However, if it is presented separately as a shower head itself, such as the item at issue, it cannot be classified as an accessory of Heading 8481.

3. Hearing and judgment

The HS Explanatory Note for heading 8481 states, 'This heading classifies pipe, tank, vat, or similar items to adjust fluids (liquids, viscous substance or gas) or, in some cases, flow(supply, drain) of solid (e.g. sand) or tab, cock, or valve used in it or similar articles. This heading also includes devices designed to regulate the pressure or flow rate of liquids or gases, and such devices regulate the flow by opening or closing openings.

The item at issue is used by attaching it to a hose (pipe) additionally connected to a faucet, etc. In light of the fact that it does not have the function of adjusting the pressure or flow rate of water by tap, cock, or valves, etc., and that it appears to be a product whose main function is to discharge water outward,

and that the item at issue appears to be a sanitary product for showering rather than a device that controls water with a valve like a faucet, and that it was not presented together with a device that controls water with a valve at the time of export, but was presented as a separate shower head, the disposition office

rejected the above claim and reclassified Issue item ① under Heading 3924 and Issue item ② under Heading 7324, and the issue item③ under heading 8424. It is judged that there is no error in the disposition of this case and imposing of customs duty refunds.

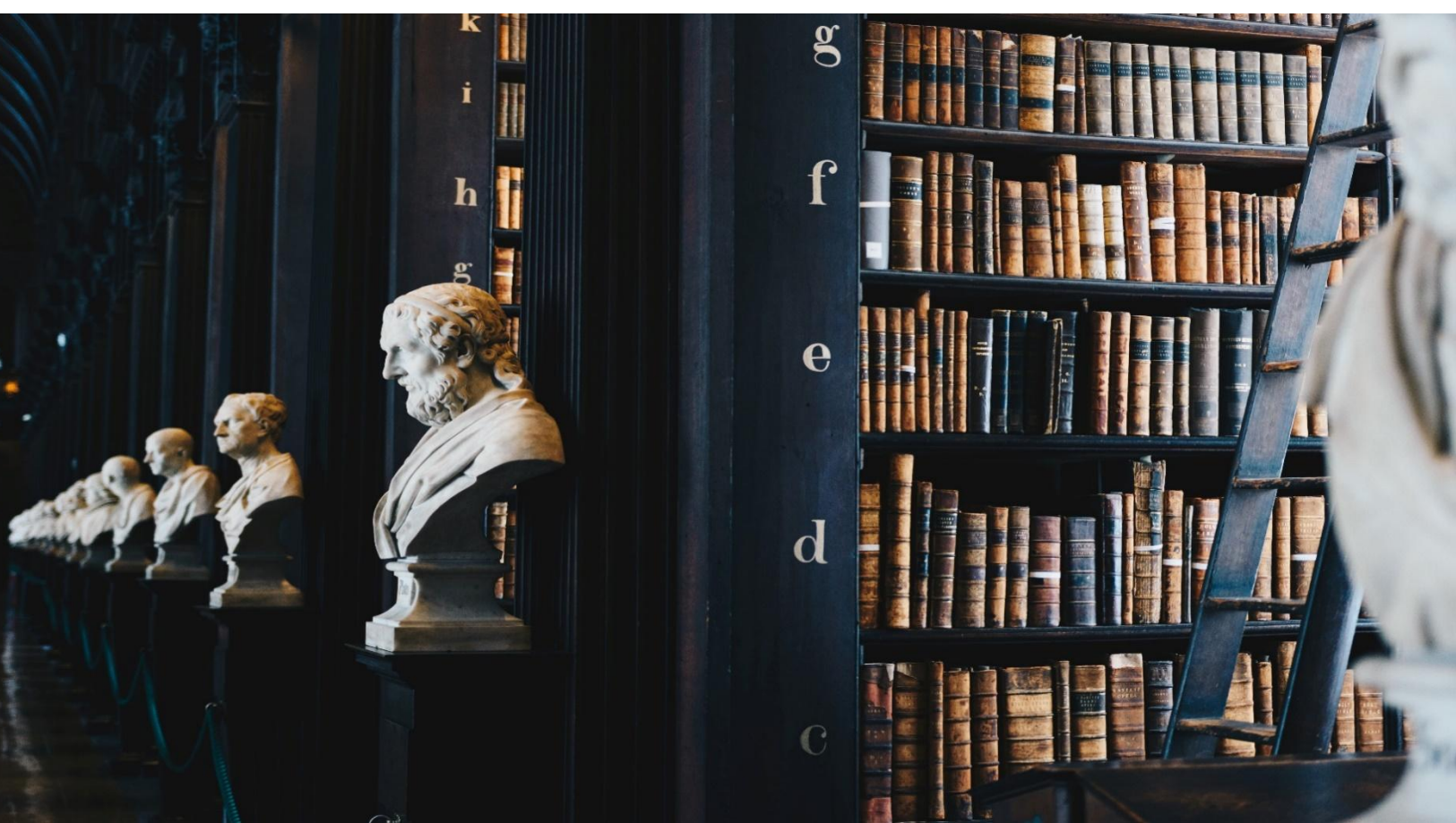
4. Conclusion

The request for adjudication in this case is decided as the claim is without grounds as a result of the hearing as an order in accordance with Article 131 of the Customs Act and Article 80-2 and Article 65, Paragraph 1, Item 2 of the Framework Act on National Taxes.

5. Implications

In the above case, the Disposal Office classified shower heads as materials of plastic (heading 3924) and steel (heading 7324) for issue item ① and issue item ②, respectively, and classified issue item ③ as a liquid spray device (heading 8424). In my personal opinion, it seems that material classification is possible for issue item ③. For issue item ① and issue item ②, material classification is considered appropriate. This is because the shower head and the handle that controls the discharge of water are not attached, and only the shower head is presented.

It appears that the claimant company has relied on past classification cases and has continued to classify parts as parts under heading 8481. Parts, even if they have a specific HS code, can be classified into other HS codes, such as material, according to General Rule No. 1, so you must always be careful. A decision must be made by comprehensively reviewing 1) how complex the structure of the part is, 2) whether it is used exclusively for the main product, and 3) what the composition of the part is made of. In particular, if tariff rates and tariff refunds are related, please consult with a customs agent to minimize customs risk.



Global Customs Insight

Discussion of reform of the World Trade Organization (WTO)》

1. Overview

The World Trade Organization (WTO) has played a key role in the growth and development of global trade and economy through trade liberalization since it was launched. However, the WTO system is unable to achieve results in multilateral trade negotiations due to internal structural problems, and the Appellate Body remains paralyzed, failing to resolve long-standing problems. The current WTO system is dramatically revealing its fundamental limitations, and the need for reform is constantly emerging. Let's take a look at the reform of the WTO system and Korea's role within it.



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2. Reasons for the crisis in the WTO system

The crisis in the WTO system resulted from internal and external factors.

Currently, the WTO has 164 member countries with diverse interests, making it difficult to reach agreement on major issues. Moreover, there are inherent limitations in narrowing the gap between developed country member countries that pursue a deeper level of free trade and developing country member countries that value the development agenda.

In addition, while the WTO's decision-making method in which agreement is reached through the consensus of member countries and the 'single undertaking' principle of multilateral negotiations contribute to enhancing the consistency and stability of the multilateral trading system, where voluntary compliance with norms by member countries is vital, there is also a structural problem in that it is causing rigidity and inefficiency of the system.

Additionally, there is the problem that the functions of the international dispute resolution body have been virtually paralyzed since the United States refused to appoint members of the Appellate Body in 2019.

3. Current status of WTO system reform

The MC12 Outcome Document, jointly adopted by member countries at the 12th Ministerial Conference (MC12) held in Geneva in June 2023, stipulates that efforts be made to reform WTO functions (establishment of norms, monitoring and deliberation, etc.) excluding dispute settlement. It orders that the results be reported at the 13th Ministerial Conference (MC13), and a dispute settlement system to be restored so that it will be fully operational by 2024.

At MC13, held in Abu Dhabi, United Arab Emirates (UAE) in February 2024, the first 'ministerial conversation' session was held to discuss trade, sustainable development, and trade and inclusion issues. The establishment of a temporary working group on trade and industrial policy (subsidies) discussions was proposed, but an agreement was not secured. Regarding the dispute resolution system, it only reaffirmed its promise in MC12 to complete the dispute resolution system by the end of 2024.

4. Korea's role and direction in WTO system reform

1) Combining strategies of strengthening multilateralism and regionalism

Due to Korea's export-driven economic structure, a free and fair trade environment is essential. Thus Korea needs to work on WTO reform with **the direction that combines strategies to strengthen multilateralism and prepare for protectionism**. To this end, there is a need to jointly establish and support international trade norms in solidarity with middle powers with similar economic size and positions, and there is a need to lead multilateral negotiations to establish rules through consensus among multiple countries. There is a need to increase the use of regional trade agreements such as RCEP and CPTPP and minimize risks resulting from changes in the WTO system by making full use of the existing FTA system.

2) Leading digital trade and e-commerce norms

With digital trade growing rapidly, Korea can lead digital trade norms as an IT powerhouse. In this regard, Korea can take the lead in digital trade liberalization by liberalizing data movement and maintaining a tariff-free policy for e-commerce, and can balance personal information protection and trade liberalization by establishing personal information protection and security norms in line with international standards.

3) Strengthening environmental and sustainable trade norms

As climate change and sustainability issues become more prominent, the link between trade and the environment is becoming more important. Korea needs to participate in the establishment of international norms to prevent trade barriers for environmental protection from being arbitrarily applied, develop and disseminate carbon-neutral technologies by developing low-carbon technologies and eco-friendly products, and proactively respond to international environmental regulations such as the EU's Carbon Border Adjustment System (CBAM).

4) Protecting domestic industries and strengthening competitiveness

① Strengthening the trade relief system to protect domestic industries

There is a need to establish a rapid response system to unfair trade by actively utilizing anti-dumping, countervailing duties, and safeguards. Also response capabilities must be strengthened by training international trade experts and trade lawyers. Additionally, it is necessary to establish an early warning system that detects and responds to global trade trends and signs of unfair trade in real time.

② Strengthening the competitiveness of small and medium-sized businesses and diversifying exports

To help small and medium-sized businesses be competitive in the global market, **customized support** is

necessary. Global marketing can be strengthened by supporting participation in overseas exhibitions, and the market should be diversified from an export structure centered on the United States and China to Southeast Asia, Europe, and South America.

③ Revitalizing the domestic market and promoting consumption

The domestic market needs to be strengthened to respond to changes in the global trade environment. The domestic market can be revitalized by providing tax benefits and policy support to stimulate consumption, and the competitiveness of domestic brands in the domestic and export markets must be strengthened by increasing the value of the 'K-brand'.



FTA and import/export practical business guide **Korea–Philippines FTA concluded**

1. Promotion schedule

As the Korea-Philippines FTA was ratified by our National Assembly on November 14, the government notified the Philippines of the completion of the domestic ratification process, and the two countries agreed to enter into force on December 31, 2024.

* Major progress: (June '19) Negotiation commencement → ('Oct. '21) Negotiation conclusion → (Sept. '23) Formal signing → (Nov. '24) National Assembly resolution

One year after the FTA takes effect, additional negotiations are scheduled to take place in the areas of service trade and investment.



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2. Major contents

The Korea-Philippines FTA is the fifth bilateral FTA concluded by Korea among ASEAN countries. It is expected to secure a competitive advantage in the Philippine market compared to competing countries by not only expanding trade and investment between the two countries through a higher level of market opening than the existing Korea-ASEAN FTA and RCEP, but also improving market accessibility for Korean companies.

Based on the number of items, tariffs were eliminated or reduced for 94.8% of all items in Korea and 96.5% in the Philippines. Although the Philippines opened only 89.2% (9,993 items) of all items through the existing ASEAN and RCEP FTAs, by further expanding the concession level by 7.3%p (821 items) through the Korea-Philippines bilateral FTA, Korea opened 94.2% (11,517 items) of all items compared to the already in effect FTAs (ASEAN, RCEP), and further expanded the concession level by 0.6%p (85 items) through the Korea-Philippines bilateral FTA.

* Tariff elimination rate (%) based on number of items: (Korea) 94.8%, (Phil) 96.5%
→ This is an increase of 0.7%p (Korea) and 7.3%p (Phil) compared to the Korea-ASEAN FTA and RCEP, respectively.

3. Expected effects for our company

Additional tariff concessions will improve the price competitiveness of our exports.

In particular, the automobile (5%) tariff will be abolished immediately (for trucks and passenger vehicles) or within 5 years (hybrid/eco-friendly vehicles), and the automobile parts (3-30%) tariff will also be abolished within 5 years, so the export conditions for our main export items are expected to be greatly improved.

* Tariffs for items of interest for our agricultural and fishery exports will also be abolished immediately (coffee preparations, soybeans, grain sorting, etc.) and within 15 years (ginseng, peppers, skipjack tuna, etc.) - Tariffs on bananas, the

main export product of the Philippines, will be abolished within 5 years, but tariffs (up to 30%) can be reimposed if a certain amount of import volume is exceeded through safeguard measures.

In addition, as soon as the Korea-Philippines FTA went into effect on December 31, 2024, the first year of tariff elimination is applied immediately, and the second year of tariff elimination will be sequentially eliminated starting the next day, January 1, 2025, so the effect felt by our import and export industry is expected to be very significant.

* Example of tariff reduction for hybrid and eco-friendly vehicles that will be eliminated within 5 years:
(12/31/24) 4% → (1/1/25) 3%(△1%p) → (1/1/26) 2%(△1%p) → (1/1/27) 1%(△1%p) → (1/1/28) 0%(△1%p)

5. Outlook

At a time when the WTO multilateral trade system is weakening, the importance of FTAs is increasing, and by concluding the Korea-Philippines FTA through additional tariff concessions compared to multilateral FTAs such as the Korea-ASEAN FTA, it will be an important opportunity to expand the trade network with the Philippines, our main trading partner.

In particular, the Korea-Philippines FTA will help improve the growth potential of both countries by expanding trade, investment, and cooperation between companies through high market opening, as well as deepening industrial cooperation in new fields such as supply chain stability, cultural industry, and technological cooperation.

In the future, the two countries plan to strengthen cooperation and provide technical support in areas such as vaccines, climate change, rare metal processing, cultural industries, standards, and e-commerce through annexes and implementation agreements along with the Korea-Philippines FTA.



Contents and Opinion of Customs Trade Amendment

Administrative Notice Regarding Partial Revision (draft) of the “Notice on Taxpayer Protection of the Korea Customs Service”

1. Overview

The Customs Act stipulates the position of “taxpayer protection officer” to protect taxpayers. Taxpayer protection officers are responsible for protecting taxpayers' rights in the customs field against illegal and unfair dispositions by customs, and also provide customs civil service for the convenience of taxpayers. We would like to inform you that there is an administrative notice related to the revision of the “Notice on Taxpayer Protection of the Korea Customs Service” related to the role of tax protection officers.



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2. Reason for revision

Improving systems and procedures to protect taxpayers' rights and interests in the customs administration process

3. Major revisions

(1) Clarification of opinion hearing procedures when expanding the scope of tax investigation (Article 42)

- The taxpayer protection officer clarifies the procedure to listen to opinions from taxpayers when deliberating by the committee regarding the expansion of the scope of customs investigation.

(2) Pre-approval procedure for suspension of customs investigation by taxpayer protection officer (Articles 47 to 49)

- If the head of the relevant department suspends a customs investigation (when more than 3 times), prior approval* is required from the Taxpayer Protection Officer.

*Applies to customs investigations starting from January 1, 2025 in accordance with the revision of the "Ordinance on the Operation of Customs Investigations."

(3) Establishment of basis for written meeting on rights protection request agenda (Article 77)

- In case of minor rights protection requests related to fines, a written meeting is possible without the Chairman and members of the Taxpayer Protection Committee attending.

(4) Provision of basis for protection of rights of taxpayer protection officers and for notification of results (Articles 79, 101)

- When a taxpayer protection officer recognizes a rights infringement by a customs official and processes a request for rights protection, detailed procedures, including notification of results, are stipulated.

4. Opinions related to revision

It is believed that the revision will have a positive effect on import and export companies. In particular, the establishment of the 'pre-approval procedure for suspension of customs investigation' will be helpful in protecting the rights of

import and export companies that have experienced difficulties due to prolonged investigation due to suspension of investigation during customs investigation.

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